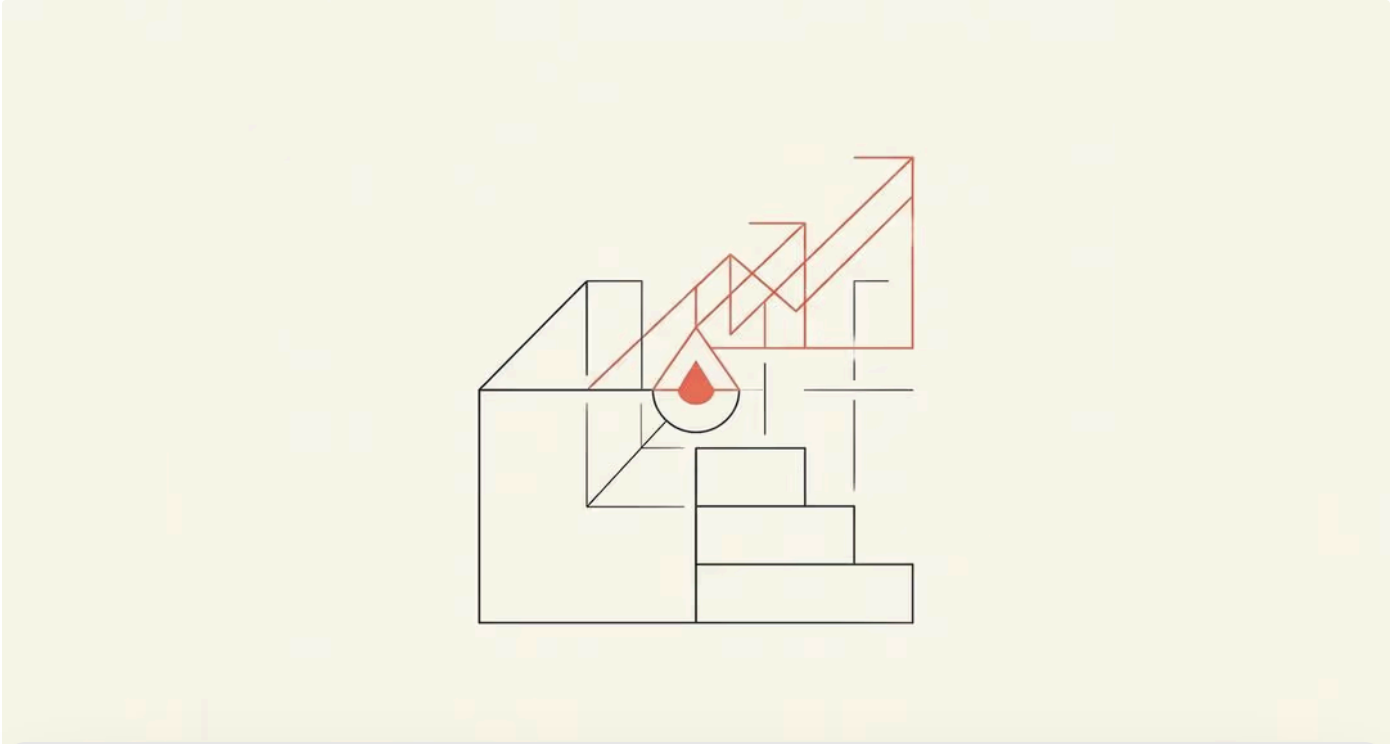
FUNDRAISING

What VCs Look for in a Startup

Forget the pitch deck templates. Here's what actually drives VC investment decisions — the real criteria behind the check, from team to TAM to timing.

Michael Kaufman · February 14, 2026 · 14 min read



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CONTENTS

Ask ten VCs what they look for in a startup and you'll get ten different answers. One says it's all about the team. Another insists market size is everything. A third argues that traction trumps all. They're all right — and they're all telling you an incomplete story. The truth is that VC investment decisions are made holistically, weighing multiple factors simultaneously, with different weights depending on the stage, the sector, and the individual investor's thesis.

This guide cuts through the noise and breaks down the real evaluation framework that VCs use — both the explicit criteria they'll tell you about and the implicit factors that often drive decisions behind closed doors.

The Founding Team: The Single Biggest Factor

At the early stages — pre-seed through Series A — the founding team is the most heavily weighted factor in virtually every VC's evaluation framework. The reasoning is simple: at the early stage, almost everything about the business will change. The product will evolve. The go-to-market strategy will shift. The target customer might pivot entirely. What stays constant is the team's ability to navigate that uncertainty and execute through chaos.

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What VCs actually evaluate about the team goes beyond impressive resumes. They're looking at several specific dimensions:

- Founder-market fit: Does this team have a unique, authentic connection to the problem they're solving? A healthcare startup founded by a surgeon who spent 15 years frustrated with surgical scheduling inefficiencies has stronger founder-market fit than a team of consultants who identified healthcare as a big market. Deep domain expertise translates to better product intuition, faster customer acquisition, and more credible storytelling.
- Technical capability: For technology companies, having a technical co-founder or deep in-house technical talent is nearly non-negotiable. VCs have learned the hard way that outsourcing core technology development leads to slower iteration, higher costs, and a fundamental inability to build technical moats. The best early-stage teams can build their own product without external dependencies.
- Execution velocity: How fast does this team move? VCs look at what the founders have accomplished with limited resources as a strong signal of future execution. A team that built a working product, acquired 50 beta users, and closed their first paying customer in 6 months with $50K of personal savings demonstrates execution speed that no amount of credentials can substitute for.

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evidence that founders can handle adversity — previous startups (even failed

ones), difficult professional experiences, or personal backgrounds that demonstrate grit and perseverance.

- Coachability: The best founders have strong convictions but remain open to input. VCs are looking for people who listen thoughtfully, engage with challenging questions rather than getting defensive, and demonstrate the ability to evolve their thinking based on new information.

Market Size: The Opportunity Has to Be Big Enough

Venture capital is a power-law business. Most investments return nothing, a few return modestly, and a tiny number generate the returns that make the entire fund work. This math means VCs can only invest in companies that have the potential to become very large — typically $100 million or more in annual revenue, and often much more than that.

For a company to reach that scale, it needs to be operating in a large and growing market. VCs evaluate market size through several lenses. The total addressable market (TAM) represents the theoretical maximum if the company captured 100% of the market. Most VCs want to see a TAM of at least $1 billion, with many preferring $10 billion or more.

But TAM alone isn't enough. VCs also evaluate market timing: is this the right moment for this solution? Some of the most successful companies were built because a technological shift, regulatory change, or behavioral trend created a window of opportunity that didn't exist before. Airbnb launched during a recession when people needed extra income. Zoom exploded when remote work suddenly became essential. The best founders can articulate not just why their market is big, but why right now is the perfect moment.

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some form of disruption that creates openings for innovative solutions. A large but stagnant market dominated by well-entrenched incumbents is far less attractive than a smaller but fast-growing market with visible disruption opportunities.

Product and Technology Differentiation

VCs want to invest in companies building something that's genuinely different — not a marginal improvement on existing solutions, but a step-change in value delivery. This doesn't always mean deep tech or patented algorithms. Differentiation can come from a unique approach to an existing problem, a novel business model, a proprietary data set, or superior design and user experience.

The key question is whether the differentiation is defensible over time. A better user interface is nice, but it can be copied in months. A proprietary machine learning model trained on millions of unique data points that no competitor can access — that's a lasting advantage. Network effects, where the product becomes more valuable as more people use it, create particularly strong moats. So do high switching costs, where customers would face significant friction if they tried to move to a competitor.

In 2026, AI has become table stakes rather than a differentiator. Simply saying "we use AI" no longer impresses investors. What matters is how you use AI in a way that creates unique value — typically through proprietary training data, novel model architectures, or domain-specific fine-tuning that generalist AI tools can't replicate.

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more investor interest than a Stanford MBA team with a slide deck and no customers. Traction is proof that the market wants what you're building.

What constitutes meaningful traction varies by stage. At pre-seed, VCs might look for a working prototype and 10 to 20 design partners or beta users. At seed, they want revenue — even if modest — and evidence of growth. By Series A, the bar is significantly higher: $1M to $3M in ARR, 2x to 3x year-over-year growth, and strong retention metrics.

The specific metrics that matter most depend on the business model:

- For SaaS companies: MRR/ARR, growth rate, net revenue retention (aim for 110%+), CAC payback period, and gross margin
- For marketplaces: GMV, take rate, liquidity (match rate), buyer and seller retention, and contribution margin per transaction
- For consumer apps: DAU/MAU ratio, retention curves (Day 1, Day 7, Day 30), engagement time, viral coefficient, and monetization metrics
- For fintech: Transaction volume, revenue per user, customer acquisition cost, regulatory status, and fraud/loss rates

Unit Economics: Does the Business Model Work?

Post the correction of 2022-2023, VCs have become significantly more focused on unit economics. The era of subsidizing growth with venture dollars and worrying about profitability later produced some spectacular failures — WeWork being the most prominent cautionary tale. Today's investors want to see a clear path to profitable unit economics, even if the company isn't yet profitable overall.

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have a 3:1 LTV/CAC ratio — generally considered healthy for B2B SaaS. If your LTV/CAC is below 1:1, you're losing money on every customer you acquire, and more growth just means more losses.

Gross margin is another critical metric. Software companies typically enjoy 70% to 85% gross margins, while hardware companies might operate at 30% to 50%. Higher gross margins mean more of each revenue dollar is available to fund growth, R&D, and eventually profits. VCs strongly prefer high-margin businesses because they scale more efficiently and are more resilient to downturns.

The Competitive Landscape

VCs spend considerable time mapping the competitive landscape around any investment. They want to understand who else is solving this problem, how much funding competitors have raised, what advantages and disadvantages each player has, and whether the market is likely to consolidate or remain fragmented.

Counterintuitively, having competitors is usually a positive signal. It validates that the market exists and that the problem is worth solving. What matters is your differentiation relative to those competitors and whether you're building advantages that strengthen over time. A VC would rather invest in a company with three competitors in a proven market than a company with zero competitors in an unproven one.

The exception is when a well-funded competitor with a massive head start is doing essentially the same thing. In that scenario, the VC calculates whether the market is big enough for multiple winners or whether this is a winner-take-most dynamic. Markets with strong network effects tend toward monopoly; markets

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The Intangibles: Pattern Matching and Conviction

Beyond the quantifiable factors, VC investment decisions are heavily influenced by intangibles — the pattern recognition and gut instinct that experienced investors develop over years of evaluating companies.

Narrative quality matters more than most founders realize. The ability to tell a compelling story about your company — where the market is going, why you're uniquely positioned, and how this becomes a $1B+ company — is a direct signal of founder quality. Great storytellers are usually great leaders, great recruiters, and great salespeople. These are all essential skills for building a successful startup.

Social proof plays a role, like it or not. Having other credible investors interested, notable angels already committed, or strong customer logos all create positive signals that influence the evaluation. VCs are, at some level, trend followers — the fact that other smart people believe in your company makes them more likely to believe too.

Thesis fit is the often-invisible filter. Most VC firms and individual partners have investment theses — areas of focus based on their understanding of where value will be created. A company could be objectively excellent but get passed because it doesn't fit the VC's thesis. This isn't a judgment on your company; it's a mismatch in focus areas. Understanding a VC's thesis before pitching saves everyone time and increases your hit rate.

What Doesn't Matter (as Much as You Think)

Founders often over-index on factors that VCs care less about than expected.

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Business plan completeness: VCs know that no business plan survives first contact with the market. They evaluate the quality of your thinking, not the precision of your five-year financial model.

Patent portfolio: Unless you're in biotech or deep tech, patents rarely drive investment decisions. Most software patents provide limited practical protection, and VCs know this.

The bottom line: VCs look for the convergence of an exceptional team, a large and growing market, meaningful traction, defensible differentiation, and sound unit economics. No company is perfect on every dimension, and different VCs weigh these factors differently. The founders who understand this framework can position themselves more effectively, have more productive investor conversations, and ultimately raise capital on better terms.

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KEY TERMS IN THIS ARTICLE

Founder Market Fit

The degree to which a founder's background, expertise, and passion align with the market they're pursuing, often considered the strongest predictor of startup success.

Customer Acquisition Cost

The total cost of acquiring a new customer, including all sales and marketing expenses.

Market Timing

The alignment between a startup's launch and the broader readiness of the market.

Net Revenue Retention

The percentage of recurring revenue retained from existing customers over a period, including expansion and contraction.

Competitive Landscape

The market environment of direct and indirect competitors a startup operates within.

Gross Margin

Revenue minus cost of goods sold (COGS), expressed as a percentage — a fundamental

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